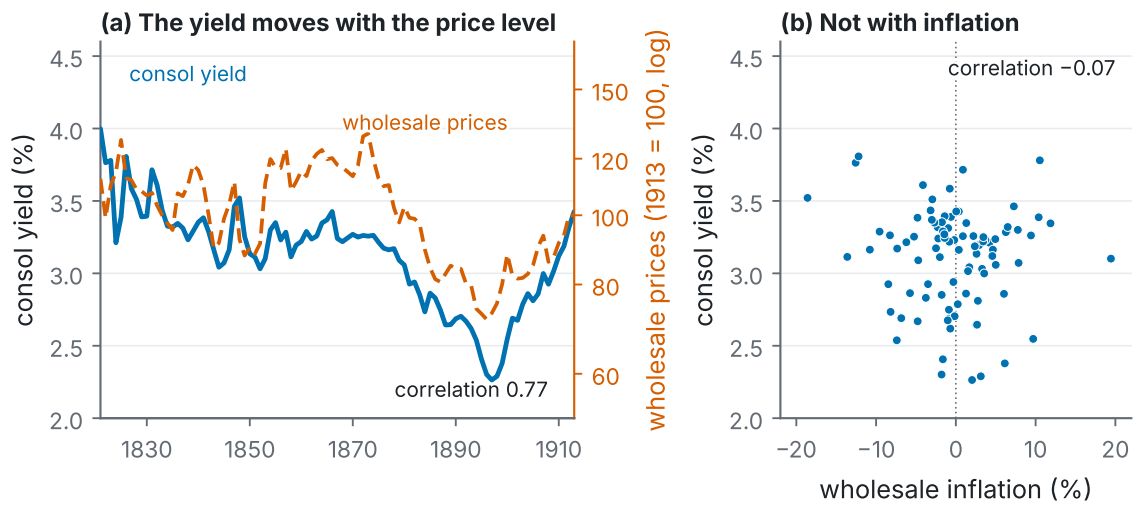
(a) The yield moves with the price level
consol yield
wholesale prices
correlation 0.77
consol yield (%)
wholesale prices (1913 = 100, log)
4.5
4.0
3.5
3.0
2.5
2.0
150
120
100
80
60
1830
1850
1870
1890
1910
(b) Not with inflation
correlation −0.07
consol yield (%)
wholesale inflation (%)
−20
−10
0
10
20